

D.J. PARIS

DO YOU GET PAID IF I DO?

One question your own referral list needs to survive, before a client, a regulator, or a federal prosecutor asks it for you.

D.J. Paris
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REFERRAL KICKBACKS ARE A FEDERAL VIOLATION.

When an agent sends a client to "their guy" for the loan, the inspection, or the title work, federal law bans getting paid for that referral without telling the client first.

THE LAW, AND THE NUMBER BEHIND IT.

RESPA Section 8, 12 CFR 1024.14, bans any fee, kickback, or thing of value exchanged for referring a client to a settlement service.

Get caught under 12 U.S.C.

2607(d), and the penalty is a fine up to \$10,000, up to a year in jail, or both, plus paying the client back three times whatever fee changed hands. Most of these referrals never get questioned.

That is exactly why the law puts the question in the client's hands, not the agent's.

THE SWAP, FOR YOUR OWN REFERRAL LIST:

- 1 Put every affiliated-business relationship in writing before you refer anyone.**

A financial tie to a lender, inspector, or title company gets disclosed before the referral, not after someone asks.
- 2 Give three options, not just yours.**

A single referral where you profit invites the exact question RESPA exists to answer.
- 3 Say the plain sentence out loud.**

"I get nothing if you use them. I recommend them because they're good." It costs nothing and it closes the question for good.
- 4 Know the number if a client or a regulator ever asks.**

A \$10,000 fine, up to a year in jail, or both, plus triple the fee owed back. That is not a rumor. It is the statute.

THE TAKEAWAY

DISCLOSE FIRST. NOBODY HAS TO ASK.

One sentence before your next referral, said before the question gets asked twice.